

Japan Banks: Asia investor feedback: Strong interest amid loan growth, interest rate normalization, and active capital markets

We report on feedback from our meetings with investors in Hong Kong and Singapore in mid-July. Investors continued to show strong interest in megabanks, major regional banks, and Japan Post Bank, given factors such as accelerating loan growth (city banks +5.9% yoy in Jan-Mar, to +8.4% yoy in Apr-Jun), the interest rate normalization outlook, and active capital markets. We were also frequently asked about SMTG, as well as Rakuten Bank after the reorganization of its fintech unit is completed. Discussions on fintech companies were less frequent than in the past, but there were questions regarding PayPay, GMO PG, and Digital Garage (Not Covered). We also got the impression that investor interest in Japan Exchange Group (JPX) is growing in response to increased trading value in the stock market.

We maintain our constructive view on the banking sector, as A) we see upside toward P/B of 2X or higher coming into view from a medium- to long-term ROE perspective, and B) we expect 1Q earnings to show solid progress, driven by five tailwinds. We see the five tailwinds as: 1) rising interest rates (higher mortgage rates due to a December 2025 rate hike, the impact of higher short-term rates ahead of a June 2026 rate hike, and improved carry income from JGB rebalancing in the previous fiscal year); 2) loan growth (city banks +5.9% yoy in Jan-Mar, +8.4% yoy in Apr-Jun); 3) active capital markets; 4) the rise in the TOPIX (leading to gains on cancellation of investment trusts, etc.); and 5) FX impact. On the other hand, downside risks include uncertainty over the situation in the Middle East and the possibility of bond rebalancing due to rising long-term interest rates. We see potential for upward revisions to company targets in 2Q to the extent that the aforementioned tailwinds outweigh the downside risks.

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